B. Indirect Channel or Distribution Through Middlemen

i. Contract Distributors or Contract Logistics

The large scale producer outsources the warehousing, transporting and distribution functions to a third party on contract. The contractor may process orders, collect payments and carry out customer service also. He is paid commission on the basis of turnover. Multi-National Companies outsource distribution function and concentrate on their core production function.

ii. Manufacturer - Value Added Reseller (VAR) or Distributor - Customers

The VARs receive the products from the manufacturers, incorporate them as if their own products by adding value enhanced service and sell them to customers. VARs provide highly skilled technical support so that the customer can have world class satisfaction. Microsoft India has appointed Avnet and Redington as VARs in India. A solar panel producer may have builders as VARs and the builders offer solar panel as additional facility to the buyers of flats, etc.

iii. Manufacturer - Channel partner - Consumers

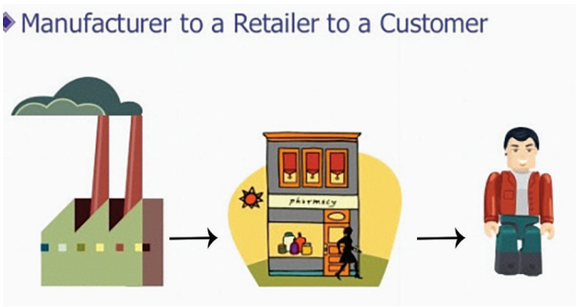
An agreement is entered in between the producer and channel partner. The producer trains the technicians of the partner and provides certification that quality product and service is assured from the partner. Channel partner and producer work in cooperation to attain their respective goals. The USA computer Technology Company Dell has channel partners in India namely, Ingram Iris, Redington, Neoteric, HCL, etc. System Integrators (SIs), VARs, Consultants, Managed Service Providers (MSPs), Independent Software vendors (ISVs) are also called channel partners.

iv. Manufacturer - Franchisor - Consumers

Producers adopt this channel to distribute goods or services in the home country and foreign countries. (Read separate chapter on Franchising in another lesson)

v. Manufacturer- Retailer - Consumer

The producer appoints a network of retailers. The storage, warehousing, transport and distribution functions are undertaken by the producer himself. Branded and well established products can be routed through this channel.



vi. Manufacturer -Wholesaler - Retailer - Consumer

The manufacturer engages wholesalers to purchase products from them as soon as the production is over. The storage, warehousing, transport and distribution functions are carried out by the wholesalers. These wholesalers contact retailers and sell goods in small quantities to them. Wholesalers may deal in a variety of products from different producers. Finally retailers sell goods to individual end consumers.

Commerce 16-25.indd 222 10/12/2022 16:33:19